What is globalization?

GLOBALIZATION | 1/4

Goods, money, people, information and technology move across borders, integrating the world's economies.

Global division of labor

Research in Japan, parts in Taiwan, production in Vietnam and sales in the US. Companies can choose optimal locations across the whole world, rather than within one country.

The market itself expands

Customers can number billions worldwide, rather than only 100 million at home. Strong companies can grow beyond domestic-market limits.

The essence

Think of globalization as a system combining the world's most efficient locations, people and capital.

Why do companies go global?

WHY GLOBALIZE? | 2/4

The biggest benefit is not only lower costs: it is the ability to expand scale rapidly.

1 Economies of scale

More production spreads R&D, equipment and logistics costs over more products.

2 Combine strengths

Combining countries' technology, talent, resources, manufacturing capability and sales networks can improve competitiveness beyond what one country alone can achieve.

3 Capture growing markets

Even firms in countries with shrinking populations can retain growth potential through overseas demand. Companies that win global share gain access to enormous markets.

Globalization has weaknesses

THE OTHER SIDE | 3/4

Pursuing efficiency too far can transmit problems from elsewhere in the world to domestic companies.

Supply-chain concentration

Depending on one country or company for crucial parts can halt all production after disasters, pandemics, war or export restrictions.

Geopolitical and tariff risks

International conflict directly affects business. Low overseas production costs alone no longer suffice for decisions.

Currency risk

More overseas sales increase exposure to exchange-rate fluctuations. Yen appreciation or depreciation can greatly change some companies' profits.

Efficiency versus safety

The cheapest supply chain is not necessarily the strongest.

Safety will also create value

NEXT GLOBALIZATION | 4/4

Globalization is not ending. It is shifting from efficiency above all toward globalization that includes economic security.

Previously

“Produce in the cheapest country” → prioritize cost and efficiency.

Going forward

“Produce where operations will not stop, even at somewhat higher cost” → friendly countries, dispersed production sites, reshoring and securing crucial technology.

What investors should examine

Look beyond overseas sales to supply chains, manufacturing locations, crucial materials, currency sensitivity and geopolitical risk.

Conclusion

Companies that compete globally are strong. Companies that avoid excessive global dependence are stronger still. Future competitiveness depends on efficiency × safety.